Conditions that Prompt Trade

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Push factors

- **Push factors** are factors that push a business to **expand outside** of its own country
- When faced with **saturated markets** or **intense competition**, businesses may consider engaging in international trade as a way to access new markets, diversify their customer base and gain a competitive advantage
- There may be **adverse conditions** within a domestic market, which may cause a business to look at opportunities in countries abroad
  - E.g. due to the UK leaving the European Union, some businesses have decided to move their operations outside the country
    - **Sony** has moved its headquarters from the UK to the Netherlands
    - **Honda** closed a production plant in Wales in 2021
    - **HSBC** chose to move its London base to France

Saturated markets

- Saturated markets occur when the demand for goods and services has reached a peak, so it becomes challenging for businesses to grow and expand within the local market
- This often prompts businesses to explore opportunities in global markets, which can help sustain their growth and profitability

Intense competition

- In a competitive market, businesses need to find ways to differentiate themselves and gain a competitive advantage
- One way to achieve this is by exploring new markets and expanding their customer base
- By exporting goods and services to new markets, businesses can reduce their reliance on a single market and diversify their **revenue streams**, thereby reducing their exposure to **market volatility and competition**

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it

Pull factors

- Two pull factors that can prompt trade are **economies of scale** and **risk spreading**

Benefiting from economies of scale

- **Economies of scale** usually occur when a business expands its production into new markets abroad
- Businesses may also be able to purchase **raw materials** and labour at lower prices than within their domestic markets
  - E.g. Ikea expanded into China as there was opportunity for growth with families **demanding more furniture** due to the **removal of the one-child policy**
  - Producing furniture in China helped to reduce transportation and distribution costs

Help me understand

Spreading risk

- By accessing multiple markets, businesses can diversify their customer base and reduce their exposure to risks associated with operating in a single market
- This can include economic, political and other types of risks that could impact their operations and profitability
  - E.g. Aston Martin produces motor cars in the UK, but it exports them to multiple markets to reduce exposure to risks associated with operating in a single market
    - There may be a recession in the UK but not in the USA

Offshoring and outsourcing

- Businesses use **offshoring and outsourcing** to develop their international trade

Offshoring

- **Offshoring** is when a company moves part of the production process, or all of it, to another country
- Reasons for offshoring include:
  - Lower labour costs
  - Access to raw materials
  - Access to skilled labour

Advantages and disadvantages of offshoring

Advantages of offshoring	Disadvantages of offshoring

countries, which helps businesses keep costs down and increase profitability	relocation as domestic workers lose jobs
• **Access to specialised suppliers** in countries abroad that provide better quality service, raw materials or components	• **Increased costs in the short term**, such as relocation costs, acquiring new premises and training new staff
• **Economies of scale** as businesses sell to a larger international market	• Possibly **poor customer service** due to language and cultural differences between the domestic consumers and foreign workers • E.g. in 2011, Santander moved its call centre back to the UK from India after customers expressed dissatisfaction with the quality of service they were receiving

Outsourcing

- **Outsourcing** occurs when a business hires an **external organisation** to complete certain tasks or business functions
  - E.g. **Apple** outsources the production of the iPhone to Foxconn in China
- The key reasons for a business choosing to outsource include:
  - Reduced costs
  - Allows businesses to focus on **core competencies**
  - Easier to comply with rules and regulations in other countries, as they are often less demanding for a local business
- The main **difference** between offshoring and outsourcing is that offshoring is still carried out under the **same business**, whereas outsourcing is done by a completely **different business**

Advantages and Disadvantages of Outsourcing

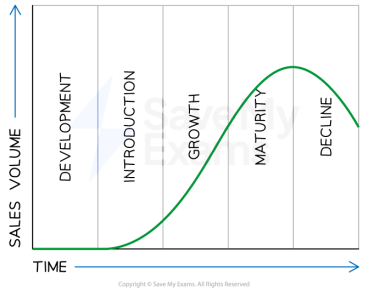
Advantages of outsourcing	Disadvantages of outsourcing
• Businesses can take advantage of **specialist skills** that	• **Damage to brand image**, as the values of the two

efficiently • **Cost effectiveness**, as businesses avoid having to spend money investing in new facilities abroad • Businesses can benefit from higher **labour productivity** in other countries	producing Apple products were committing suicide due to the **low pay and poor working conditions** • **Poor communication** between the businesses can cause issues, which can lead to increased costs and disruption for the business choosing to outsource

Product life cycle extension

- The **product life cycle** represents the value of sales from the time a product is introduced into the market until it is no longer sold

A typical product life cycle



The four stages of the product life cycle show the value of sales over a period of time

- The stages of the product life cycle include **introduction**, **growth**, **maturity** and **decline**
- An **extension strategy** is a method used by a business to lengthen **the life cycle** of a product or service
  - E.g. a business could **sell its product in new international markets**
    - A product could reach maturity in one market but could then be introduced into another market
    - This allows the business to generate more revenue

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